

Number of Credit Cards in India

Guesstimate Problem Statement

Estimate the total number of credit cards in India.

As a consultant, you are required to estimate the total number of credit cards held by Indians without using external data sources. Use logical assumptions, population segmentation by income group, willingness to take on credit, and loan-application behaviour to arrive at an approximate estimate.

Step-by-Step Solution

Step 1: Start with India's Population

Assume:

Population of India = 1.4 Billion

Step 2: Segment Population by Income Group

Assumption: India is a low-to-middle income earning country, hence a relatively small share of the population falls in the high-income bracket.

Income Group	Share	Population
High Income	10%	140 Million
Medium Income	60%	840 Million
Low Income	30%	420 Million

Step 3: Estimate the Earning Population within Each Group

Assumption: The percentage of working individuals (including working women) is higher in the high- and low-income categories compared to the middle-income category, where a larger share is dependent/non-earning.

Income Group	% Earning	People Earning
High Income	100%	140 Million
Medium Income	50%	420 Million
Low Income	100%	420 Million

Step 4: Estimate Willingness for Credit/Loan

Assumption: Low-income earners tend to prefer informal loans over formal credit instruments like credit cards, while middle-income earners represent a growing population with increasing credit needs.

Income Group	% Willing	Population Willing
High Income	50%	70 Million
Medium Income	30%	126 Million
Low Income	10%	42 Million

Step 5: Estimate the Population Actually Applying for Credit Cards

Assumption: Not everyone willing to take credit ends up applying – approval likelihood and awareness of the product differ by income group.

Income Group	% Actually Applying	Population Applying
High Income	70%	50 Million
Medium Income	40%	50 Million

Low Income	20%	10 Million
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Step 6: Apply Average Number of Credit Cards Held per Person

Assumption: Higher-income individuals are more likely to hold multiple credit cards (e.g., for rewards, travel, or business use), while middle- and low-income cardholders typically hold just one.

Income Group	Avg. Cards per Person	Total Credit Cards
High Income	2	$50\text{M} \times 2 = 100 \text{ Million}$
Medium Income	1	$50\text{M} \times 1 = 50 \text{ Million}$
Low Income	1	$10\text{M} \times 1 = 10 \text{ Million}$

Step 7: Arrive at Final Estimate

Total Credit Cards = 100 Million + 50 Million + 10 Million

Total Number of Credit Cards in India

$\approx 160 \text{ Million Credit Cards}$

Final Answer

Estimated total number of credit cards in India $\approx 160 \text{ Million}$.

Consulting Interview Takeaway

The interviewer is not evaluating whether the answer is exactly correct. They are evaluating:

- Structured Thinking – Did the candidate break the problem logically from population down to actual cardholders?
- MECE Segmentation – Were income-group buckets mutually exclusive and collectively exhaustive?
- Reasonable Assumptions – Are the earning %, willingness, and application-rate assumptions defensible and internally consistent?
- Mental Math Accuracy – Can the candidate calculate quickly and correctly across multiple funnel layers?
- Business Logic – Did the candidate connect income level, financial behaviour, and product-holding patterns (multiple cards for high income) to reach the estimate?

A concise consulting framework for this guesstimate would be:

Population → Income Segmentation → Earning Population → Willingness for Credit → Actual Applications
→ Avg. Cards per Person → Total Credit Cards